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BAT
FY'2025 Earnings Note

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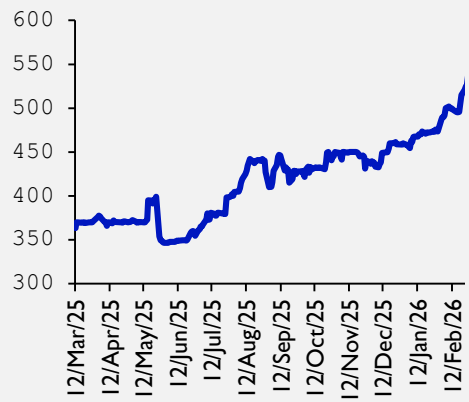
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BAT Kenya FY'25 Earnings Note

12th March 2026

Ticker Information	
NSE Code:	BAT
Issued Shares (Mn):	700
52-week high:	KES 629
52-week low:	KES 325

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	8.4%	20.5%	22.4%	48.8%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	**KES 541.00**	**KES 609.41**

Summary

- **British American Tobacco Kenya posted 17.0% y/y growth in net earnings, coming in at KES 5.25 Bn from KES 4.48 Bn. This performance was chiefly buoyed by a 14.6% decline in total cost of operations to KES 15.72 Bn from KES 18.40 Bn.** Notably, revenues declined to KES 35.95 Bn from KES 41.08 Bn. Management attributed the decline to the heightened proliferation of illicit cigarettes, which dampened the domestic market. **The Board of Directors recommended a final dividend of KES 60.00 per share, eligible to investors on record at the close of business on 8th May 2026, to be paid on or about 12th June 2026.**

Key Highlights

- **Earnings Performance:** Revenues dipped by 12.5% y/y to KES 35.95 Bn, primarily weighed down by an increase in illicit products in the market. Management noted that illicit products have increased to 45.0% from 37.0%. Key to note, the manufacturer embarked on the sale of modern oral nicotine pouches in the second half of the year. Despite the late entry into the earnings mix, the product contributed approximately 1.0% of total revenue. Additionally, management noted that revenue is split between the local and export markets at approximately 50-50. Excise Duty and VAT declined by 17.0% y/y to KES 12.75 Bn.

- Cost of operations softened by 14.6% y/y to KES 15.72 Bn from KES 18.40 Bn. Management attributed this performance to increased use of domestic leaf to 60.0% from 55.0% during the manufacturing process. The increased use of domestic leaf helped ease costs. Going forward, management noted that there is still headroom to increase usage of domestic leaf, which would continue to lift margins.

Dividend

BAT raised its total dividend for FY25 to KES 70.00 per share (KES 10.00 interim and KES 60.00 final dividend), representing a 40.0% increase from KES 50.00 per share paid in 2024. The total dividend payment exceeded earnings for the year, leading management to dip into retained earnings. This explains why retained earnings decreased to KES 11.87 Bn from KES 12.07 Bn. Management noted that the ability to pay this dividend was supported by healthy retained earnings built in readiness for heavy capex to construct a plant for modern oral nicotine pouches. Regulatory bottlenecks rendered the plant idle, guiding the company to dispose of the plant with minimal impairment. Consequently, management decided to return funds to shareholders through dividends.

Outlook

One of the main catalysts for growth remains modern oral nicotine pouches. We share the same level of confidence with the management that, in the near term, this product will grow its contribution to the topline now that the regulatory framework is clear. Management envisages that, in the medium term, the product will contribute close to 15.0%-25.0% of revenues, aligning with the BAT Group's vision of increasing revenue from non-combustible products to 50.0% by 2035. Currently, the company is using an import model, sourcing the product from Pakistan. Furthermore, management noted that if volumes justify reinstating the local plant, they will review the business case, as local sourcing should be cheaper. The company intends to intensify measures to drive the product, including expanding distribution to enhance availability. Although not a key focus area, the company is contemplating the possibility of exporting high-quality leaf. Additionally, following the closure of the South African plant and the shift to an import model, there lies an opportunity for the Kenyan plant, which is currently running at 70.0% capacity, to assess exports to the South African market. We understand that conversations are underway to create a favorable framework to support this initiative.

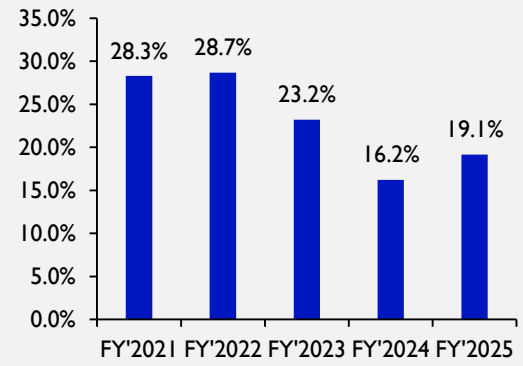
Illicit trade remains the key challenge to the topline, especially in the domestic market, driven by excise duty disparities in the region that have heightened cross-border smuggling.

BAT Kenya provides an opportunity for long-term and dividend-focused investors, offering an attractive dividend proposition that can cushion portfolios during pullbacks.

Recommendation

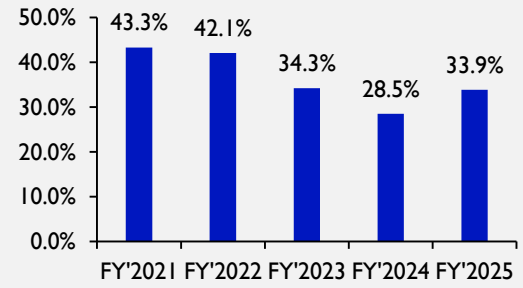
- **We issue a *BUY* recommendation on BAT Kenya at the current price level.** At the current market price, the stock is trading at P/E ratio of 10.3x and a P/B ratio of 3.5x. Our one-year target price for BAT Kenya currently stands at KES 609.41 - representing a c. 12.6% upside potential from current levels.

Chart 2: Return on Assets



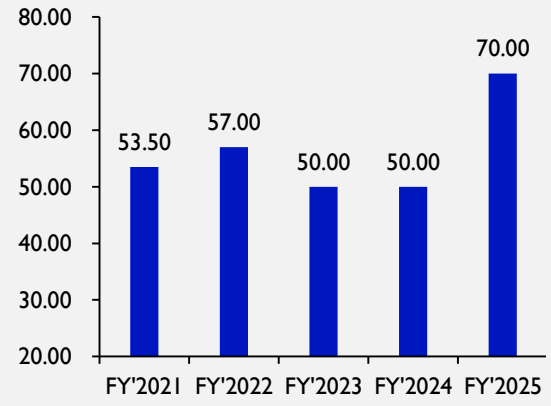
Source: Company filings, AIB-AXYS Research.

Chart 3: Return on Equity



Source: Company filings, AIB-AXYS Research.

Chart 4: Historical Dividend Payments



Source: Company filings, AIB-AXYS Research.

Income Statement(Bn)	FY'2021	FY'2023	FY'2025	FY'2027	FY'2029	y/y % change
Gross Revenue	**40.05**	**42.25**	**41.25**	**41.08**	**35.95**	▼ (12.5%)
Excise Duty and Value Added Tax (VAT)	(14.62)	(14.87)	(15.69)	(15.37)	(12.75)	▼ (17.0%)
Net Revenue	**25.43**	**27.38**	**25.56**	**25.72**	**23.19**	▼ (9.8%)
Total cost of operations	(16.06)	(17.50)	(17.63)	(18.40)	(15.72)	▼ (14.6%)
Operating profit	**9.37**	**9.88**	**7.93**	**7.31**	**7.48**	▲ 2.2%
Finance income (cost)	(0.08)	0.03	0.10	(0.83)	0.20	▲ 123.6%
Profit before tax	**9.29**	**9.91**	**8.02**	**6.48**	**7.67**	▲ 18.3%
Income tax expense	(2.81)	(3.02)	(2.45)	(2.00)	(2.43)	▲ 21.2%
Profit after tax	**6.48**	**6.89**	**5.57**	**4.48**	**5.25**	▲ 17.0%
Total comprehensive income	**7.62**	**6.91**	**5.57**	**4.48**	**5.25**	▲ 17.0%
Dividend (Bns)	5.35	5.70	5.00	5.00	7.00	▲ 40.0%
Basic and diluted earnings per share (Kshs)	**64.83**	**68.92**	**55.68**	**44.83**	**52.46**	▲ 17.0%

Balance Sheet	FY'2021	FY'2023	FY'2025	FY'2027	FY'2029	y/y % change
Capital and Reserves						
Share Capital	1.00	1.00	1.00	1.00	1.00	
Revaluation surplus	2.84	2.80	2.76	2.66	2.62	▼ (1.5%)
Retained earnings	11.14	12.58	12.49	12.07	11.87	▼ (1.7%)
Shareholders' fund	**14.97**	**16.38**	**16.25**	**15.73**	**15.49**	▼ (1.6%)
Non-current liabilities	1.94	2.08	2.00	1.90	1.90	▲ 0.3%
	16.91	**18.47**	**18.25**	**17.63**	**17.39**	▼ (1.4%)
Assets						
Non-current Assets	**12.31**	**12.10**	**11.81**	**17.63**	**9.69**	▼ (45.1%)
Working Capital						
Current Assets	11.81	11.85	12.24	13.59	13.90	▲ 2.2%
Current Liabilities	(7.21)	(5.48)	(5.80)	(6.03)	(6.20)	▲ 2.9%
Net working capital	**4.61**	**6.37**	**6.44**	**7.57**	**7.70**	▲ 1.7%

Condensed Cash Flow Statement	FY'2021	FY'2023	FY'2025	FY'2027	FY'2029	y/y % change
Cash generated from operations	8.57	9.21	8.48	10.43	8.58	▼ (17.7%)
Net interest received	(0.10)	(0.06)	0.18	(0.76)	0.20	▲ 125.8%
Tax paid	(2.23)	(3.53)	(2.69)	(2.52)	(2.14)	▼ (15.3%)
Net cash from operating activities	**6.24**	**5.62**	**5.62**	**7.83**	**6.64**	▼ (15.2%)
Net cash(used in)/received from investing activities	(0.57)	(0.75)	(0.44)	0.78	(0.29)	▼ (136.9%)
Net cash used in financing activities	(4.52)	(5.53)	(5.73)	(5.04)	(5.53)	▲ 9.6%
Movement in cash & cash equivalents	**1.15**	**(0.66)**	**(0.55)**	**3.57**	**0.83**	▼ (76.8%)
At the start of the period	1.88	3.03	2.37	1.82	5.39	▲ 196.0%
At the end of the period	**3.03**	**2.37**	**1.82**	**5.39**	**6.22**	▲ 15.4%

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